The government exercised substantial control over the bank. It appointed the Managing Governors, the Controller of the Currency, the Secretaries of the Local Boards, and four Governors, as noted above. The Controller of the Currency was empowered to hold up any action of the Board affecting the financial policy or the safety of the cash balances of government, and to refer the matter to government for its decision. The government could issue instructions to the bank in any matter which, in its opinion, vitally concerned its financial policy or the safety of its cash balances. It was empowered to make the bank supply any information and produce any of its documents and could appoint auditors to examine, and report on, the accounts of the bank. Its previous sanction was required for establishing more LHOs and Local Boards of the bank.[21]

Until 1935, the bank acted as the sole banker to government. It was the custodian of government funds and did its treasury work free of charge. It received all government dues from the public, and the government drew upon it for its disbursements. It also managed the public debt of the Government of India and provided the machinery for the issue of government loans. There was, however, a separate public debt office which acted as the actual registrar of the debt.

Moreover, it acted as a bankers' bank, and most of the leading banks in India, including the exchange banks, kept a portion of their cash balance in deposit with it. Further, it supplied the supervising staff and managed the eleven clearing houses that were established in the principal cities of India. It also provided remittance facilities between its numerous branches to the other banks and the public at rates which were controlled by the government. In return the bank was given the concession of transferring its funds from one place to another within India through the Government Treasury Department free of charge.[22]

Progressively, from the late 1920s, the Imperial Bank of India also took over some overseas roles hitherto played by the India Office and the Bank of England. Together, these functions marked the Imperial Bank out for a certain special status and some direct and indirect benefits and responsibilities. After the formation of the RBI, many of these responsibilities were transferred to it and thereafter the Imperial Bank of India functioned principally as a commercial bank.